

Member ID: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (23 @ 3 points each) _____ (69 points)

TOTAL POINTS _____ ***(129 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to complete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. What agency insures bank deposits?
 - A. IRS
 - B. SEC
 - C. FED
 - D. FDIC

2. The difference between the credit limit and the outstanding balance on your credit card is the _____.
 - A. available credit.
 - B. total amount of purchases made.
 - C. minimum required payment.
 - D. finance charge.

3. As interest rates rise, what typically happens to the price of bonds on the open market?
 - A. Increase
 - B. Decrease
 - C. Bond prices do not change on the open market.
 - D. There is no connection between interest rates and bond prices

4. The amount of money the beneficiary receives from a life insurance policy upon death of the insured is known as the _____ of the policy.
 - A. interest
 - B. premium
 - C. deductible
 - D. face value

5. Which bond would typically include the highest interest rate?
 - A. U.S. Savings
 - B. T-bill
 - C. Investment Grade
 - D. Junk

6. Which statement on fixed-rate vs. variable-rate loans is false?
 - A. Interest rates on fixed-rate loans stay the same the entire length of the loan.
 - B. Interest rates on fixed-rate loans are typically lower than starting rates on variable-rate loans.
 - C. Interest rates on variable-rate loans could fluctuate.
 - D. Payments on fixed-rate loans will remain the same.

7. A _____ is an example of revolving credit.
- A. student loan
 - B. car loan
 - C. home equity line of credit
 - D. savings account
8. You have a joint bank account with your spouse. At that same bank you also have a separate individual account. How much insurance do you and your spouse have in total?
- A. \$100,000
 - B. \$250,000
 - C. \$500,000
 - D. \$750,000
9. What is an advantage of investing in a mutual fund rather than an individual stock?
- A. Annual expenses for your investment.
 - B. Diversification of your investment.
 - C. Lack of knowledge of the fund manager.
 - D. Potential investment return
10. The prime rate runs approximately how many basis points above the Federal Funds Rate?
- A. 100
 - B. 300
 - C. 500
 - D. 700
11. Which of the following would cause a need to redo your budget?
- A. You buy a pair of shoes on sale.
 - B. Your car needs an oil change.
 - C. You raise your 401(k) percentage withdrawn.
 - D. You won \$50 on a scratch off lottery.
12. What does ROI stand for in finance?
- A. Rate of Investment
 - B. Rate of Interest
 - C. Return on Investment
 - D. Return on Interest
13. Credit scores are also known as what?
- A. FICO
 - B. LIFO
 - C. FASB
 - D. IRS

14. What is the ideal investment?
 - A. High risk, high return
 - B. High risk, low return
 - C. Low risk, low return
 - D. Low risk, high return
15. Which of the following is not a defined contribution retirement plan?
 - A. IRA
 - B. Pension
 - C. 401 (k)
 - D. 403 (b)
16. What is a disadvantage of a typical mutual fund?
 - A. Higher annual expenses
 - B. Diversification
 - C. Expert fund management
 - D. Less liquid than CD's
17. What type of auto insurance covers damage to your car if you hit a deer?
 - A. Collision
 - B. Liability
 - C. Uninsured Motorist
 - D. Comprehensive
18. Which of the following typically pools money together in order to buy stocks?
 - A. Certificate of Deposit
 - B. Equity Mutual Fund
 - C. Treasury Bill
 - D. Corporate Bond
19. Bonds that have a rating of CCC are better known as what?
 - A. Municipal bond.
 - B. Junk bond.
 - C. Zero-coupon bond.
 - D. Investment grade bond.
20. Which retirement account typically includes a company match?
 - A. 401(k)
 - B. IRA
 - C. Mutual Fund
 - D. 403(b)
21. Which of the following would most likely have the highest auto insurance premiums?
 - A. 18-year old male
 - B. 18-year old female
 - C. 25-year old male
 - D. 25-year old female

22. What advantage does common stock have over preferred stock?
- A. Common stock shareholders receive dividends first.
 - B. Common stock shareholders get voting rights.
 - C. Common stock shareholders have more management in the business.
 - D. Common stock typically has a higher price per share.
23. You move into an apartment that is owned by ABC Realty Co. What type of insurance is recommended for you to purchase?
- A. Homeowners
 - B. Personal Property
 - C. Liability
 - D. Renters
24. If you wanted to invest in stocks from foreign companies, what type of mutual fund would you invest in?
- A. Domestic equity funds
 - B. Domestic income funds
 - C. International equity funds
 - D. International income funds
25. When purchasing a zero-coupon bond with a maturity value of \$2,000, what price would you most likely be expected to pay?
- A. \$1,600
 - B. \$2,000
 - C. \$2,400
 - D. You can't purchase zero coupon bonds
26. What is the highest rating given to a bond?
- A. CCC
 - B. C
 - C. A
 - D. AAA
27. What type of account is a HSA?
- A. Mutual Fund
 - B. Money Market
 - C. Health Insurance
 - D. Retirement
28. What is the form that employers provide employees with annually showing the income earned and the amount of taxes withheld during the year?
- A. Form 1040
 - B. Form W2
 - C. Form 1099
 - D. Form W4

29. Which of the following is not taxed by the Federal Government?
- A. Tips from your job as a server
 - B. Car you won in a contest
 - C. Inheritance from a deceased relative
 - D. Social Security tax benefits
30. Which of the following would most likely result in your credit score dropping?
- A. Paying off an old debt.
 - B. Getting a raise.
 - C. Making the final payment on a car loan.
 - D. Applying for a credit card.

Short Answer – 69 Points – 3 points each

1. Julian Ricardo has homeowner's insurance coverage worth \$300,000 with a local company. He pays the insurance company directly through payments of \$150 per month. The policy includes a \$5,000 deductible and includes coverage on other structures on the property.

A severe storm with very high winds hits Julian's neighborhood, and does the following damage to his property:

- \$12,000 worth of damage to the roof
- \$1,500 worth of broken windows
- \$800 worth of damage to his fence from a tree that fell
- \$2,000 worth of damage to his car from the same tree

- a. How much does Julian pay annually for his insurance policy? _____
- b. Does the policy pay for the fence damage? _____
- c. Does the policy pay for the car damage? _____
- d. How much will Julian pay out of pocket for the homeowner's claim? _____
- e. How much will the insurance cover on Julian's homeowner's claim? _____

2. Sarah Simmons purchases a \$5,000.00 coupon bond at the beginning of 2025 for \$4,200.00. The coupon rate on the bond is 5%, payable semi-annually. At the end of 2025, the bond is trading on the open market for \$3,650.00.
- a. How much will Sarah receive for each interest payment? _____
 - b. What is the current yield of the bond at the end of 2025? _____
 - c. How much will Sarah receive upon maturity? _____
3. On May 10, 2025 Leah Towns received a bonus from work of \$8,000 net of taxes. She met with her broker and invested in the following: 15 shares of Ramirez Supply Inc. @ \$150.50; 75 shares of SMS Corp @ \$37.43; and 10 shares of Widget Co @ \$168.30. Her broker charges a 2% commission on all transactions. On June 10, 2025, the three stocks closed the day trading at the following prices: Ramirez Supply Inc - \$162.14; SMS Corp - \$41.15; Widget Co - \$179.25
- a. How much did Leah spend for her investment on the stocks, including the fees?

 - b. Ignoring the broker's fees, what percentage of her investment was used for Widget Co?

 - c. How much does Talia have remaining from her bonus after her investment?

 - d. Which stock increased by the largest percentage from May 10th to June 10th?

 - e. As of the close of the market on June 10th, what was the total percentage return on her investment, ignoring the broker's fees?

 - f. What is Leah's investment worth after the close of the market on June 14th?

4. Carlos Sanchez purchases a Treasury bill with a face value of \$10,000.00 for a purchase price of \$9,780.00. The T-bill will mature in 13 weeks.

a. How much will Carlos earn on the investment? _____

b. What is the discount yield on the T-bill? _____

5. On May 2nd, Kim Nguyen buys into the Johnson Large-cap value mutual fund. The fund includes a deferred load of 3.0%. Kim buys 100 shares of the fund, costing her a total of \$4,140.00. Kim sells the fund on October 10th with a NAV of \$47.15.

a. What was the NAV on May 2nd for the mutual fund? _____

b. Ignoring the load, what was the return on her investment upon the sell? _____

c. How much money did she receive when she sold the fund? _____

6. Katie wants to invest in the stock market. She researches two companies and finds the following information.

	Current Stock Price	Number of Shares Outstanding	Net Income
Common Corp	\$22.45	72,800,000	\$110,000,000
Lakeland Inc	\$92.15	214,600,000	\$720,000,000

a. What is the EPS for Common Corp? _____

b. What is the EPS for Lakeland Inc? _____

c. What is the P/E ratio for Common Corp? _____

d. What is the P/E ratio for Lakeland Inc? _____